

Lecture 10: Discretion vs. Commitment

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Myopic optimiser

Optimize period by period.

discretion: period-by-period optimisation without committing to future actions.

Dynamic optimiser

Optimize the sum of present and future utilities.

commitment: central bank can credibly announce and follow a future path.
Backward induction.

Recap: Optimal Monetary Policy is strict inflation targeting.

$$\hat{\pi}_t = 0 \Rightarrow \hat{y}_t = \hat{y}_t^n = \hat{y}_t^e.$$

However, possible and optimal but not feasible since central bank can not fully stabilize inflation.

Facing short-run tradeoff due to supply shock.

NK with imperfection at the supply side

Under flexible price:

$y_t^n \neq y_t^e$ (natural output $\neq$ efficient output) $\Rightarrow$ short-run tradeoff between quantity and prices.

Move oppositely facing supply shock.

Assume at steady state, the inefficiency associated with the flexible price is not there:

$$\bar{y} = \bar{y}^n = \bar{y}^e,$$

while exists short-run deviations:

$$\hat{y}_t \neq \hat{y}_t^n \neq \hat{y}_t^e.$$

Welfare losses are:

$$E_0 \sum_{t=0}^{\infty} \beta^t (\hat{\pi}_t^2 + \alpha_x \hat{x}_t^2).$$

Define welfare relevant output gap as

$$\begin{aligned} \hat{x}_t &= \hat{y}_t - \hat{y}_t^e = \log y_t - \log \bar{y} - (\log y_t^e - \log \bar{y}^e) = \log y_t - \log y_t^e, \\ \hat{\pi}_t &= \log P_t - \log P_{t-1}, \quad \alpha_x = \frac{\kappa}{\varepsilon}. \end{aligned}$$

$$\left. \begin{aligned} \tilde{y}_t &= \hat{y}_t - \hat{y}_t^n = \hat{x}_t + (\hat{y}_t^e - \hat{y}_t^n), \\ \hat{\pi}_t &= \beta E_t \{\hat{\pi}_{t+1}\} + \kappa \tilde{y}_t \end{aligned} \right\} \Rightarrow \hat{\pi}_t = \beta E_t \{\hat{\pi}_{t+1}\} + \kappa \hat{x}_t + u_t,$$

where

$$v_t = \beta E_t \{\hat{\pi}_{t+1}\} + u_t.$$

- $E_t \{\hat{\pi}_{t+1}\}$: taken as given when choosing current-period policy.
- u_t : exogenous cost-push shock.

A nonzero u_t makes it impossible to attain simultaneously zero inflation and an efficient level of output. For example, u_t may come from exogenous changes in desired wage markups, price markups, labor income taxes, minimum wages, etc.

Assume u_t follows:

$$u_t = \rho_u u_{t-1} + \varepsilon_t^u, \quad \rho_u \in [0, 1).$$

$$\text{NKPC: } \hat{\pi}_t = \beta E_t\{\hat{\pi}_{t+1}\} + \kappa \hat{x}_t + u_t,$$

$$\text{DIS: } \hat{x}_t = -\frac{1}{\sigma} (\hat{i}_t - E_t\{\hat{\pi}_{t+1}\} - \hat{r}_t^e) + E_t\{\hat{x}_{t+1}\}.$$

$\hat{r}_t^e$ is the efficient real interest rate that supports the efficient allocation.

Optimal Policy under discretion (period-by-period optimization)

$$\min_{\hat{x}_t, \hat{\pi}_t} \hat{\pi}_t^2 + \alpha_x \hat{x}_t^2 \quad \text{s.t.} \quad \hat{\pi}_t = \kappa \hat{x}_t + v_t,$$

where

$$v_t = \beta E_t\{\hat{\pi}_{t+1}\} + u_t.$$

$E_t\{\hat{\pi}_{t+1}\}$: independent of current policy; u_t : exogenous.

$$\mathcal{L} = \hat{\pi}_t^2 + \alpha_x \hat{x}_t^2 - \lambda(\hat{\pi}_t - \kappa \hat{x}_t - v_t).$$

$$\frac{\partial \mathcal{L}}{\partial \hat{\pi}_t} = 0 \Rightarrow 2\hat{\pi}_t = \lambda,$$

$$\frac{\partial \mathcal{L}}{\partial \hat{x}_t} = 0 \Rightarrow 2\alpha_x \hat{x}_t = -\lambda\kappa \Rightarrow \hat{x}_t = -\frac{\kappa}{\alpha_x} \hat{\pi}_t, \quad \forall t \quad \text{targeting rule.}$$

To dampen the rise in inflation due to cost-push shock,

$$\hat{x}_t < 0 \Rightarrow \hat{y}_t < \hat{y}_t^e.$$

$\Rightarrow$ drive output below efficiency level; negative output gap $\Rightarrow$ policy trade-off.

Plug into NKPC:

$$\begin{aligned} \hat{\pi}_t &= \beta E_t\{\hat{\pi}_{t+1}\} + \kappa \hat{x}_t + u_t = \beta E_t\{\hat{\pi}_{t+1}\} - \frac{\kappa^2}{\alpha_x} \hat{\pi}_t + u_t, \\ \Rightarrow \hat{\pi}_t &= \frac{\alpha_x \beta}{\alpha_x + \kappa^2} E_t\{\hat{\pi}_{t+1}\} + \frac{\alpha_x}{\alpha_x + \kappa^2} u_t. \end{aligned}$$

Iterate forward:

$$\begin{cases} \hat{\pi}_t = \alpha_x \psi u_t, \\ \hat{x}_t = -\kappa \psi u_t, \end{cases} \quad \psi = \frac{1}{\kappa^2 + \alpha_x(1 - \beta\rho_u)}.$$

Central bank lets output gap and inflation deviate from targets in proportion to the current value of the cost-push shock:

$$\hat{\pi}_t = \alpha_x \psi u_t, \quad \hat{x}_t = -\kappa \psi u_t.$$

$$\psi_{0.5} = \frac{1}{\kappa^2 + \alpha_x \left(1 - \frac{\beta}{2}\right)} > \psi_0 = \frac{1}{\kappa^2 + \alpha_x}.$$

Optimal to partly accommodate inflation pressure from the cost-push shock by letting inflation rise.

Without any policy response, $\kappa = 0$:

$$\hat{\pi}_t = \beta E_t\{\hat{\pi}_{t+1}\} + u_t.$$

Guess $\hat{\pi}_t = Au_t$ and $E_t u_{t+1} = \rho_u u_t$:

$$Au_t = \beta A \rho_u u_t + u_t \Rightarrow A = \frac{1}{1 - \beta \rho_u}.$$

Without output gap response:

$$\hat{\pi}_t = \frac{1}{1 - \beta \rho_u} u_t > \frac{\alpha_x}{\kappa^2 + \alpha_x(1 - \beta \rho_u)} u_t.$$

$$\hat{x}_t = -\kappa \psi u_t \Rightarrow \kappa \hat{x}_t = -\kappa^2 \psi u_t < 0 \quad \text{when } u_t > 0,$$

$$\hat{\pi}_t = \beta E_t \hat{\pi}_{t+1} \boxed{-\kappa^2 \psi u_t} + u_t.$$

u_t pushes inflation up — direct effect.

Induced recessionary output gap pushes inflation down.

Using

$$E_t \{\hat{\pi}_{t+1}\} = \alpha_x \psi \rho_u u_t,$$

$$\hat{\pi}_t = [\beta \alpha_x \psi \rho_u - \kappa^2 \psi + 1] u_t = \alpha_x \psi u_t.$$

$$\hat{\pi}_t = \hat{p}_t - \hat{p}_{t-1} \Rightarrow \hat{p}_t = \hat{p}_{t-1} + \sum_{j=0}^t \hat{\pi}_j.$$

Since $\hat{\pi}_j = \alpha_x \psi u_j$, and $u_j \rightarrow 0$ as $j \rightarrow \infty$, $\Rightarrow \hat{\pi}_j \rightarrow 0$ as $j \rightarrow \infty$.

$$\Rightarrow \lim_{t \rightarrow \infty} \hat{p}_t = \hat{p}_{-1} + \sum_{j=0}^{\infty} \hat{\pi}_j > \hat{p}_{-1}, \quad \underline{\text{level price stay permanently higher.}}$$

Optimal discretionary policy implementation

$$\hat{\pi}_t = \alpha_x \psi u_t, \quad \hat{x}_t = -\kappa \psi u_t. \quad (\text{Target rule})$$

$$\hat{x}_t = -\frac{1}{\sigma} (\hat{i}_t - E_t \{\hat{\pi}_{t+1}\} - \hat{r}_t^e) + E_t \{\hat{x}_{t+1}\}.$$

Plug in:

$$\begin{aligned} -\kappa \psi u_t &= -\frac{1}{\sigma} (\hat{i}_t - \alpha_x \psi \rho_u u_t - \hat{r}_t^e) - \kappa \psi \rho_u u_t, \\ \Rightarrow \hat{i}_t &= \underbrace{\hat{r}_t^e}_{\text{efficiency rate}} + \underbrace{\psi_i u_t}_{\text{response from cost-push shock}}, \quad \psi_i = \psi [\kappa \sigma (1 - \rho_u) + \alpha_x \rho_u]. \end{aligned}$$

$\kappa \sigma (1 - \rho_u)$: need to affect current output gap through IS curve. $\alpha_x \rho_u$: forward-looking part.

$u_t \uparrow$ cost-push shock $\Rightarrow$ inflation $\hat{\pi}_t \uparrow \Rightarrow$ cool demand through $\hat{i}_t \uparrow > \hat{r}_t^e \Rightarrow \hat{x}_t \downarrow \Rightarrow \hat{\pi}_t \downarrow$.

But output losses are costly $\Rightarrow$ only fights $\hat{\pi}_t \uparrow$ partially.

DIS

$$\hat{x}_t = -\frac{1}{\sigma} \left(\hat{i}_t - E_t\{\hat{\pi}_{t+1}\} - \hat{r}_t^e \right) + E_t\{\hat{x}_{t+1}\}.$$

Calculation:

$$C_t^{-\sigma} = \beta(1 + i_t)E_t \left[\frac{C_{t+1}^{-\sigma}}{1 + \pi_{t+1}} \right].$$

At steady state, $\beta(1 + \bar{i}) = 1$ and $\bar{\pi} = 0$:

$$1 = \beta(1 + \bar{r}), \quad 1 + \bar{r} = \frac{1}{\beta}, \quad \rho = -\log \beta \quad \rho : \text{ steady-state real rate.}$$

Log-linearization:

$$\hat{c}_t = E_t\{\hat{c}_{t+1}\} - \frac{1}{\sigma} \left[\hat{i}_t - E_t\{\hat{\pi}_{t+1}\} \right],$$

$$\hat{y}_t = -\frac{1}{\sigma} \left[\hat{i}_t - E_t\{\hat{\pi}_{t+1}\} \right] + E_t\{\hat{y}_{t+1}\}.$$

$$\hat{x}_t + \hat{y}_t^e = -\frac{1}{\sigma} \left[\hat{i}_t - E_t\{\hat{\pi}_{t+1}\} \right] + E_t\{\hat{x}_{t+1}\} + E_t\{\hat{y}_{t+1}^e\},$$

$$\hat{x}_t = -\frac{1}{\sigma} \left[\hat{i}_t - E_t\{\hat{\pi}_{t+1}\} - \sigma E_t\{\Delta \hat{y}_{t+1}^e\} \right] + E_t\{\hat{x}_{t+1}\},$$

$$\hat{x}_t = -\frac{1}{\sigma} \left[\hat{i}_t - E_t\{\hat{\pi}_{t+1}\} - \hat{r}_t^e \right] + E_t\{\hat{x}_{t+1}\} \quad \text{where } \hat{r}_t^e = \sigma E_t\{\Delta \hat{y}_{t+1}^e\}.$$

Consider an inflation targeting rule:

$$\hat{i}_t = \hat{r}_t^e + \phi_\pi \hat{\pi}_t, \quad \phi_\pi = (1 - \rho_u) \frac{\kappa \sigma}{\alpha_x} + \rho_u.$$

$$\begin{aligned} \hat{i}_t &= \hat{r}_t^e + \psi_i u_t, & \hat{\pi}_t &= \alpha_x \psi u_t \Rightarrow u_t = \frac{\hat{\pi}_t}{\alpha_x \psi} \\ &\Rightarrow \hat{i}_t &= \hat{r}_t^e + \frac{\psi_i}{\alpha_x \psi} \hat{\pi}_t. \end{aligned}$$

$$\frac{\psi_i}{\alpha_x \psi} = \frac{\kappa \sigma (1 - \rho_u) + \alpha_x \rho_u}{\alpha_x} = (1 - \rho_u) \frac{\kappa \sigma}{\alpha_x} + \rho_u = \phi_\pi.$$

Since a determinate equilibrium exists iff $\phi_\pi > 1$:

$$\phi_\pi > 1 \Rightarrow \frac{\kappa \sigma}{\alpha_x} > 1 \quad \text{may not be satisfied.}$$

A rule that decentralizes the desired discretionary equilibrium:

$$\begin{aligned} \hat{i}_t &= \hat{r}_t^e + \psi_i u_t + \phi_\pi (\hat{\pi}_t - \alpha_x \psi u_t) \\ &= \hat{r}_t^e + \Theta_i u_t + \phi_\pi \hat{\pi}_t, \end{aligned} \quad (\text{Instrument rule})$$

where

$$\Theta_i = \psi [\kappa \sigma (1 - \rho_u) - \alpha_x (\phi_\pi - \rho_u)].$$

Now we have a unique equilibrium, and it is the desired discretionary equilibrium.

1. Under desired equilibrium:

$$\hat{\pi}_t = \alpha_x \psi u_t, \quad \hat{i}_t = \hat{r}_t^e + \psi_i u_t.$$

We do not change the intended discretionary allocation.

2. Central bank reacts more aggressively:

$$\hat{i}_t \uparrow \quad \text{when} \quad \hat{\pi}_t > \alpha_x \psi u_t.$$

If $\phi_\pi > 1$, nominal rate rises more than one-for-one with inflation deviations; real rate rises, demand falls, inflation falls, eliminating self-fulfilling inflation paths.

Target rule: tell central bank the relationship between target variables to achieve.

E.g. $\hat{x}_t = -\frac{\kappa}{\alpha_x} \hat{\pi}_t$, This tells tradeoff, but still infeasible, since y_t^e is unobservable.

Instrument rule: tell central bank how to set its instrument.

E.g. $\hat{i}_t = \hat{r}_t^e + \Theta_i u_t + \phi_\pi \hat{\pi}_t$, $\hat{r}_t^e$ and u_t are hard to observe and measure.

Optimal Policy under commitment

Central bank able to commit with full credibility to a policy plan.

$$\min_{\{\hat{x}_t, \hat{\pi}_t\}_{t=0}^{\infty}} \frac{1}{2} E_0 \sum_{t=0}^{\infty} \beta^t (\hat{\pi}_t^2 + \alpha_x \hat{x}_t^2)$$

$$\text{s.t.} \quad \hat{\pi}_t = \beta E_t \{\hat{\pi}_{t+1}\} + \kappa \hat{x}_t + u_t, \quad u_t = \rho_u u_{t-1} + \varepsilon_t^u.$$

$$\mathcal{L} = E_0 \sum_{t=0}^{\infty} \beta^t \left[\frac{1}{2} (\hat{\pi}_t^2 + \alpha_x \hat{x}_t^2) + \gamma_t (\hat{\pi}_t - \kappa \hat{x}_t - \beta E_t \{\hat{\pi}_{t+1}\} - u_t) \right].$$

F.O.C.:

$$\begin{aligned} \frac{\partial \mathcal{L}}{\partial \hat{\pi}_t} = 0 &\Rightarrow \hat{\pi}_t + \gamma_t - \gamma_{t-1} = 0, & \gamma_{-1} &= 0, \\ \frac{\partial \mathcal{L}}{\partial \hat{x}_t} = 0 &\Rightarrow \alpha_x \hat{x}_t - \kappa \gamma_t = 0 \Rightarrow \gamma_t = \frac{\alpha_x}{\kappa} \hat{x}_t, & \forall t. \end{aligned}$$

Constraint in period -1 not effective for optimal plan in period 0.

$$\Rightarrow \begin{cases} \hat{x}_0 = -\frac{\kappa}{\alpha_x} \hat{\pi}_0, \\ \hat{x}_t = \hat{x}_{t-1} - \frac{\kappa}{\alpha_x} \hat{\pi}_t, & t \geq 1. \end{cases} \quad (*) \Rightarrow \hat{x}_t = -\frac{\kappa}{\alpha_x} \check{p}_t.$$

$$\begin{aligned} \hat{x}_1 &= \hat{x}_0 - \frac{\kappa}{\alpha_x} \hat{\pi}_1 = -\frac{\kappa}{\alpha_x} (\hat{\pi}_0 + \hat{\pi}_1), \\ \hat{x}_2 &= \hat{x}_1 - \frac{\kappa}{\alpha_x} \hat{\pi}_2 = -\frac{\kappa}{\alpha_x} (\hat{\pi}_0 + \hat{\pi}_1 + \hat{\pi}_2). \end{aligned}$$

$$\Rightarrow \hat{x}_t = -\frac{\kappa}{\alpha_x} \sum_{s=0}^t \hat{\pi}_s.$$

$$\because \hat{\pi}_s = \log P_s - \log P_{s-1}, \quad \sum_{s=0}^t \hat{\pi}_s = \sum_{s=0}^t (\log P_s - \log P_{s-1}) = \log P_t - \log P_{-1}.$$

$$\Rightarrow \hat{x}_t = -\frac{\kappa}{\alpha_x} \check{p}_t. \quad \check{p}_t = \log P_t - \log P_{-1}, \quad \check{p}_t : \text{price-level targeting.}$$

While under discretion, we have purely static: $\hat{x}_t = -\frac{\kappa}{\alpha_x} \hat{\pi}_t$.

Now today's policy depends on past policy through $\hat{x}_{t-1}$: history dependent policy making. Then

$$\begin{aligned} \hat{\pi}_t &= \beta E_t \{\hat{\pi}_{t+1}\} + \kappa \hat{x}_t + u_t, \\ \check{p}_t - \check{p}_{t-1} &= \beta E_t \{\check{p}_{t+1} - \check{p}_t\} - \frac{\kappa^2}{\alpha_x} \check{p}_t + u_t, \\ \left(1 + \beta + \frac{\kappa^2}{\alpha_x}\right) \check{p}_t &= \beta E_t \{\check{p}_{t+1}\} + \check{p}_{t-1} + u_t. \end{aligned}$$

Let

$$a = \frac{\alpha_x}{(1 + \beta)\alpha_x + \kappa^2}.$$

Then

$$\check{p}_t = a\check{p}_{t-1} + a\beta E_t \{\check{p}_{t+1}\} + au_t. \quad \forall t$$

Assume

$$\begin{aligned} \check{p}_t &= \delta \check{p}_{t-1} + \eta u_t, \quad \text{undetermined coefficients.} \\ \check{p}_t &= \frac{a}{\delta} (\check{p}_t - \eta u_t) + a\beta \delta \check{p}_t + a\beta \eta \rho_u u_t + au_t, \\ \left(1 - \frac{a}{\delta} - a\beta \delta\right) \check{p}_t + \left(\frac{a\eta}{\delta} - a\beta \eta \rho_u - a\right) u_t &= 0. \\ \begin{cases} 1 - \frac{a}{\delta} - a\beta \delta = 0, \\ \frac{a}{\delta} \eta - a\beta \eta \rho_u - a = 0, \end{cases} &\Rightarrow \begin{cases} \delta = \frac{1 - \sqrt{1 - 4\beta a^2}}{2\beta a} \in (0, 1), \\ \eta = \frac{\delta}{1 - \delta\beta \rho_u}. \end{cases} \end{aligned}$$

Thus

$$\check{p}_t = \delta \check{p}_{t-1} + \frac{\delta}{1 - \delta\beta \rho_u} u_t,$$

where

$$\delta = \frac{1 - \sqrt{1 - 4\beta a^2}}{2\beta a} \in (0, 1).$$

$$\hat{x}_t = -\frac{\kappa}{\alpha_x} \check{p}_t \Rightarrow \hat{x}_t = \delta \hat{x}_{t-1} - \frac{\kappa \delta}{\alpha_x (1 - \delta\beta \rho_u)} u_t. \quad (**)$$

$$\hat{x}_0 = -\frac{\kappa \delta}{\alpha_x (1 - \delta\beta \rho_u)} u_0.$$

$$\hat{\pi}_t = \kappa \hat{x}_t + \kappa \sum_{k=1}^{\infty} \beta^{k-1} E_t \{\hat{x}_{t+k}\} + u_t.$$

In response to u_t , central bank may lower future output gap with credible promises. Given $\hat{x}_t$, current $\hat{\pi}_t$ may decline less. Since cost function is convex, damping of deviations in period of shock improves welfare.

Assume transitory shock ($\rho_u = 0$):

$$DIS : \hat{x}_t = -\frac{1}{\sigma} \left(\hat{i}_t - E_t \{\hat{\pi}_{t+1}\} - \hat{r}_t^e \right) + E_t \{\hat{x}_{t+1}\}$$

$$\begin{aligned}
&\Rightarrow \hat{i}_t = \hat{r}_t^e + E_t\{\hat{\pi}_{t+1}\} + \sigma [E_t\{\hat{x}_{t+1}\} - \hat{x}_t], \\
&\hat{x}_t = -\frac{\kappa}{\alpha_x} \check{p}_t, \\
&E_t\{\hat{x}_{t+1}\} - \hat{x}_t = -\frac{\kappa}{\alpha_x} (E_t\{\check{p}_{t+1}\} - \check{p}_t), \\
&E_t\{\hat{\pi}_{t+1}\} = E_t\{\check{p}_{t+1} - \check{p}_t\}, \\
&\Rightarrow \hat{i}_t = \hat{r}_t^e + E_t\{\hat{\pi}_{t+1}\} - \sigma \frac{\kappa}{\alpha_x} E_t\{\hat{\pi}_{t+1}\}, \\
&\Rightarrow \hat{i}_t = \hat{r}_t^e + \left(1 - \frac{\sigma\kappa}{\alpha_x}\right) E_t\{\hat{\pi}_{t+1}\}.
\end{aligned} \tag{1}$$

Since $\check{p}_t = \delta\check{p}_{t-1} + \delta u_t$ when $\rho_u = 0$,

$$E_t\{\check{p}_{t+1}\} = \delta\check{p}_t, \quad E_t\{\hat{\pi}_{t+1}\} = \delta\check{p}_t - \check{p}_t = -(1 - \delta)\check{p}_t.$$

Thus

$$\hat{i}_t = \hat{r}_t^e - (1 - \delta) \left(1 - \frac{\sigma\kappa}{\alpha_x}\right) \check{p}_t$$

Iterate backward:

$$\begin{aligned}
\check{p}_t &= \delta u_t + \delta^2 u_{t-1} + \dots = \sum_{k=0}^t \delta^{k+1} u_{t-k}. \\
\Rightarrow \hat{i}_t &= \hat{r}_t^e - (1 - \delta) \left(1 - \frac{\sigma\kappa}{\alpha_x}\right) \sum_{k=0}^t \delta^{k+1} u_{t-k}.
\end{aligned}$$

Equilibrium nominal rate consistent with optimal allocation.

To make an implementable rule that makes the allocation unique:

$$\begin{aligned}
\hat{i}_t &= \hat{r}_t^e - \left[\phi_p + (1 - \delta) \left(1 - \frac{\sigma\kappa}{\alpha_x}\right)\right] \sum_{k=0}^t \delta^{k+1} u_{t-k} + \phi_p \check{p}_t, \quad \text{ensure determinacy, } \phi_p > 0. \\
\Rightarrow \hat{i}_t &= \hat{r}_t^e - (\phi_p + A) \check{p}_t + \phi_p \check{p}_t, \quad A = (1 - \delta) \left(1 - \frac{\sigma\kappa}{\alpha_x}\right).
\end{aligned}$$

Along the intended equilibrium, the rule collapses back to

$$\hat{i}_t^* = \hat{r}_t^{e*} - (1 - \delta) \left(1 - \frac{\sigma\kappa}{\alpha_x}\right) \check{p}_t^*.$$

Without a term with $\check{p}_t$, the rule does not actively push back against the deviation.

Define deviation from the target equilibrium:

$$\tilde{p}_t = \check{p}_t - \check{p}_t^*, \quad \tilde{x}_t = \hat{x}_t - \hat{x}_t^*, \quad \tilde{\pi}_t = \hat{\pi}_t - \hat{\pi}_t^*, \quad \tilde{i}_t = \hat{i}_t - \hat{i}_t^*.$$

$$\left\{ \begin{array}{ll} \text{DIS:} & \tilde{x}_t = E_t \tilde{x}_{t+1} - \frac{1}{\sigma} (\phi_p \tilde{p}_t - E_t \tilde{\pi}_{t+1}), \\ \text{NKPC:} & \tilde{\pi}_t = \kappa \tilde{x}_t + \beta E_t \tilde{\pi}_{t+1}, \\ \text{Price identity:} & \tilde{\pi}_t = \tilde{p}_t - \tilde{p}_{t-1}, \\ \text{Guess:} & \tilde{p}_t = \lambda \tilde{p}_{t-1}. \end{array} \right. \implies \left\{ \begin{array}{l} \tilde{x}_t = \frac{1 + \phi_p - \lambda}{\sigma(\lambda - 1)} \tilde{p}_t, \\ \tilde{x}_t = \frac{1}{\kappa} \left[(1 + \beta) - \frac{1}{\lambda} - \beta\lambda \right] \tilde{p}_t, \\ \tilde{\pi}_t = \left(1 - \frac{1}{\lambda} \right) \tilde{p}_t, E_t \tilde{\pi}_{t+1} = (\lambda - 1) \tilde{p}_t \\ E_t \tilde{x}_{t+1} = \frac{1}{\kappa} \left[(1 + \beta) - \frac{1}{\lambda} - \beta\lambda \right] E_t \tilde{p}_{t+1} \\ = \frac{1}{\kappa} \left[(1 + \beta) - \frac{1}{\lambda} - \beta\lambda \right] \lambda \tilde{p}_t = \lambda \tilde{x}_t \end{array} \right.$$

Equating the two expressions for $\tilde{x}_t$:

$$\frac{1 + \phi_p - \lambda}{\sigma(\lambda - 1)} = \frac{1}{\kappa} \left[(1 + \beta) - \frac{1}{\lambda} - \beta\lambda \right].$$

$$H(\lambda) \equiv \sigma(\lambda - 1)^2(1 - \beta\lambda) - \kappa\lambda(1 + \phi_p - \lambda) = 0.$$

When $\phi_p = 0$:

$$H(1) = 0 \rightarrow \tilde{p}_t = \tilde{p}_{t-1} \rightarrow \tilde{p}_t \text{ is constant and can hold at any level deviation.}$$

When $\phi_p > 0$:

$$H(1) = \sigma(1 - 1)^2(1 - \beta) - \kappa(1 + \phi_p - 1) = -\kappa\phi_p < 0 \rightarrow \lambda = 1 \text{ is not a root.}$$

Proof that there are 1 stable root and 2 unstable roots which is what we want:

(i) For $\lambda \in (0, 1)$,

$$H(\lambda) = 0 \iff \frac{\kappa}{\sigma} \frac{\lambda(1 + \phi_p - \lambda)}{(1 - \lambda)^2(1 - \beta\lambda)} = 1.$$

Then

$$LHS(0) = 0, \quad LHS(1) = +\infty \implies \exists \lambda_1 \in (0, 1).$$

(ii) For $\lambda \in (-\infty, 0]$,

$$(\lambda - 1)^2 > 0, \quad 1 - \beta\lambda > 0, \quad -\kappa\lambda(1 + \phi_p - \lambda) \geq 0.$$

$$H(\lambda) > 0 \implies \text{there is no negative real root.}$$

Therefore, there are either two positive real roots or conjugate complex roots.

$$\lambda_1 \lambda_2 \lambda_3 = \frac{1}{\beta} > 1 \quad \lambda_1 \in (0, 1) \Rightarrow \lambda_2 \lambda_3 = \frac{1}{\beta \lambda_1} > 1.$$

Thus the remaining roots are unstable:

$$\left\{ \begin{array}{ll} |\lambda_2| = |\lambda_3| > 1, & \text{if they are complex conjugate roots,} \\ \lambda_2 > 1, \lambda_3 > 1, & \text{if they are unstable real roots.} \end{array} \right.$$

Economic intuition:

(i) $\phi_p > 0$:

$$\check{p}_t \uparrow \implies \hat{i}_t \uparrow \implies \text{reduced demand} \implies \text{negative output gap} \xrightarrow{\text{NKPC}} \hat{\pi}_t \downarrow .$$

Hence the belief that prices will drift up is no longer self-fulfilling; monetary policy offsets the deviation.

(ii) $\phi_p = 0$:

The central bank does not react to the endogenous price-level drift, beliefs may survive as alternative equilibria.

Distorted steady state

Permanent supply-side distortion:

$$\bar{y}^n < \bar{y}^e.$$

Real imperfections generate a permanent gap between natural and efficient levels of output:

$$-\frac{U_N}{U_C} = MPN(1 - \phi), \quad \phi = 1 - \frac{1}{\mu}.$$

Output is inefficiently low.

The welfare losses:

$$E_0 \sum_{t=0}^{\infty} \beta^t \left[\frac{1}{2} (\hat{\pi}_t^2 + \alpha_x \hat{x}_t^2) - \Lambda \hat{x}_t \right], \quad \text{where } \Lambda = \phi \frac{\lambda}{\varepsilon} > 0.$$

Deviation of the welfare-relevant output gap:

$$\hat{x}_t = \log X_t - \log \bar{X} = (\log Y_t - \log Y_t^e) - (\log \bar{Y} - \log \bar{Y}^e) = (\log Y_t - \log Y^e) - (\log \bar{Y}^n - \log \bar{Y}^e).$$

$$\log \bar{X} = \log \bar{Y} - \log \bar{Y}^e = \log \bar{Y}^n - \log \bar{Y}^e < 0.$$

NKPC constraint:

$$\hat{\pi}_t = \beta E_t \{ \hat{\pi}_{t+1} \} + \kappa \hat{x}_t + u_t, \quad \text{where } u_t = \kappa (\hat{y}_t^e - \hat{y}_t^n) \text{ is cost-push shock.}$$

i. Optimal discretionary policy

$$\min_{\hat{\pi}_t, \hat{x}_t} \frac{1}{2} (\hat{\pi}_t^2 + \alpha_x \hat{x}_t^2) - \Lambda \hat{x}_t \quad \text{s.t.} \quad \hat{\pi}_t = \kappa \hat{x}_t + v_t, \quad v_t = \beta E_t \{ \hat{\pi}_{t+1} \} + u_t.$$

F.O.C.:

$$\hat{x}_t = \frac{\Lambda}{\alpha_x} - \frac{\kappa}{\alpha_x} \hat{\pi}_t.$$

$\frac{\Lambda}{\alpha_x}$: central bank always wants a more expansionary policy.

Plug into the constraint.

$$\hat{\pi}_t = \frac{\alpha_x \beta}{\alpha_x + \kappa^2} E_t \{ \hat{\pi}_{t+1} \} + \frac{\kappa \Lambda}{\alpha_x + \kappa^2} + \frac{\alpha_x}{\alpha_x + \kappa^2} u_t.$$

Guess $\hat{\pi}_t = A + B u_t$:

$$\Rightarrow A + B u_t = \frac{\alpha_x \beta}{\alpha_x + \kappa^2} (A + B \rho_u u_t) + \frac{\kappa \Lambda}{\alpha_x + \kappa^2} + \frac{\alpha_x}{\alpha_x + \kappa^2} u_t.$$

$$A = \frac{\kappa \Lambda}{\kappa^2 + \alpha_x (1 - \beta)}, \quad B = \alpha_x \psi, \quad \psi = \frac{1}{\kappa^2 + \alpha_x (1 - \beta \rho_u)}.$$

Thus

$$\Rightarrow \hat{\pi}_t^* = \frac{\Lambda \kappa}{\kappa^2 + \alpha_x (1 - \beta)} + \alpha_x \psi u_t.$$

$\frac{\Lambda \kappa}{\kappa^2 + \alpha_x (1 - \beta)}$: constant > 0 ; inflation bias from distorted S.S.

$\alpha_x \psi u_t$: usual response.

Changed average level of inflation / output gap; shock response no change.

Inefficient low natural level of output $\Rightarrow$

(i) positive average inflation, because CB's incentive to push output above its natural S.S. level.

(ii) increases the incentive to keep inflation higher than 0 as Λ increases (inflation bias).

ii. Optimal policy under commitment

$$\mathcal{L} = E_t \sum_{t=0}^{\infty} \beta^t \left[\frac{1}{2} (\hat{\pi}_t^2 + \alpha_x \hat{x}_t^2) - \Lambda \hat{x}_t + \gamma_t (\hat{\pi}_t - \kappa \hat{x}_t - \beta E_t \{\hat{\pi}_{t+1}\} - u_t) \right].$$

F.O.C.:

$$\frac{\partial \mathcal{L}}{\partial \hat{\pi}_t} = 0 \Rightarrow \hat{\pi}_t + \gamma_t - \gamma_{t-1} = 0, \quad (1)$$

$$\frac{\partial \mathcal{L}}{\partial \hat{x}_t} = 0 \Rightarrow \alpha_x \hat{x}_t - \kappa \gamma_t - \Lambda = 0, \quad (2)$$

$$\gamma_{-1} = 0$$

$$(1) \Rightarrow \gamma_t = \frac{\alpha_x \hat{x}_t - \Lambda}{\kappa}, \quad \gamma_{t-1} = \frac{\alpha_x \hat{x}_{t-1} - \Lambda}{\kappa}, \quad \text{plug into (2)} \Rightarrow \hat{x}_t = \hat{x}_{t-1} - \frac{\kappa}{\alpha_x} \hat{\pi}_t.$$

Since $\hat{\pi}_t = \check{p}_t - \check{p}_{t-1}$, by iterating forward:

$$(1) \Rightarrow \hat{x}_t = \frac{\Lambda}{\alpha_x} - \frac{\kappa}{\alpha_x} \check{p}_t \quad \left. \begin{array}{l} \hat{x}_t = -\frac{\kappa}{\alpha_x} \check{p}_t + \text{constant} \\ \hat{x}_t = \frac{\Lambda}{\alpha_x} - \frac{\kappa}{\alpha_x} \check{p}_t \end{array} \right\} \Rightarrow \text{constant} = \frac{\Lambda}{\alpha_x}$$

$$\text{Plug into NKPC: } \left. \begin{array}{l} \hat{\pi}_t = \beta E_t \{\hat{\pi}_{t+1}\} + \kappa \hat{x}_t + u_t, \\ \hat{\pi}_t = \check{p}_t - \check{p}_{t-1}, \\ \hat{\pi}_{t+1} = \check{p}_{t+1} - \check{p}_t. \end{array} \right\} \Rightarrow \check{p}_t = a \check{p}_{t-1} + a \beta E_t \{\check{p}_{t+1}\} + \frac{a \kappa \Lambda}{\alpha_x} + a u_t.$$

$$\text{where } a = \frac{\alpha_x}{\kappa^2 + \alpha_x(1 + \beta)}.$$

Solve with undetermined coefficients:

$$\check{p}_t = A \check{p}_{t-1} + B u_t + C.$$

$$A = \delta = \frac{1 - \sqrt{1 - 4\beta a^2}}{2\beta a} \in (0, 1), \quad B = \frac{\delta}{1 - \delta\beta\rho_u}, \quad C = \frac{\delta\kappa\Lambda}{(1 - \delta\beta)\alpha_x}.$$

Thus

$$\check{p}_t = \delta \check{p}_{t-1} + \frac{\delta}{1 - \delta\beta\rho_u} u_t + \frac{\delta\kappa\Lambda}{(1 - \delta\beta)\alpha_x}. \quad (3)$$

$\frac{\delta}{1 - \delta\beta\rho_u} u_t$: shock response, not affected.

$\frac{\delta\kappa\Lambda}{1 - \delta\beta}$: stabilization bias; shifts price-level path upward by a constant

$\Rightarrow$ price level converges to a constant and average inflation is 0.

$$\lim_{T \rightarrow \infty} P_T = P_{-1} + \frac{\delta\kappa\Lambda}{(1 - \delta\beta)(1 - \delta)\alpha_x}.$$

Zero average inflation, but positive upward bias above P_{-1} .

$$\hat{x}_t = \frac{\Lambda}{\alpha_x} - \frac{\kappa}{\alpha_x} \check{p}_t.$$

Plug in (3):

$$\hat{x}_t = \underbrace{\delta \hat{x}_{t-1}}_{\text{history dependence}} - \underbrace{\frac{\kappa \delta}{\alpha_x (1 - \delta \beta \rho_u)} u_t}_{\text{same shock response}} + \underbrace{\frac{\Lambda}{\alpha_x} \left[1 - \delta \left(1 + \frac{\kappa^2}{(1 - \delta \beta) \alpha_x} \right) \right]}_{\text{constant S.S. deviation}}.$$

Commitment leads to:

1. output can be raised above its natural level with welfare improvement;
2. more subdued effects on inflation;
3. commitment avoids the inflation bias under discretionary policy.